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Online-to-Offline (O2O) Commerce in Emerging Markets: Analysis of the Retail Sector

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ABSTRACT

The growing digital footprint in emerging markets has bolstered the demand for quality and real-time customer experience through multiple retail platforms. Retail markets in emerging economies are increasingly experimenting with Online-to-Offline (O2O) commerce. This study aims at identifying various factors influencing the adoption and success of O2O business models in emerging markets. A strategic TOPICS framework is proposed to determine and evaluate the multi-dimensional factors that impact O2O retailers. This paper provides insights for potential e-commerce retailers in emerging markets diversifying into O2O commerce. The conclusion offers insights that could help redefine the future of O2O commerce in emerging markets.

KEYWORDS

O2O commerce; retail; e-commerce; technology; emerging market

Introduction

The popularization and transformation of e-commerce retail in emerging economies have eventually led the businesses to extend their reach of customers. Technological advancements and emerging customer demands in the developing world have catalyzed the expansion of online retail business, thus challenging traditional retail business. However, online and offline retailers differ in their inherent abilities to offer customers the opportunity of pre-purchase product touch for purchase decisions (Liu, Batra, & Wang, 2017). Although e-commerce has become well established in more developed markets like the US, UK and Europe, its reach has been slower in emerging economies (Oxford Business Group 2020) such as the Middle East, Africa, Asia and Latin America. Emerging markets are characterized by low market efficiency and lack of basic infrastructure (Corwin & Duffy 2014), which pose challenges for purely-online players. Purely-offline retail stores and channels are still the dominant and preferred methods for final customer purchases in emerging markets (Singhi & Sanghi, 2017). Retailers understand the

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contextual needs of emerging customers for personal interaction, physical product touch, instant gratification, and attitude toward online shopping; it has necessitated the broader development of new business models such as Online-to-Offline (O2O) commerce.

The term "O2O" was introduced by Rampell (2010) as a business model that brings online customers to offline stores. The essence of O2O retail commerce is to transform the business "from a siloed channel approach to a seamlessly integrated retail model" (Light & Birtwhistle, 2015). Through this crossover and technology-driven retail, the purely-online retail players are exploring ways to shift to O2O commerce with a hybrid version of an offline front and online presence. A favorable ecosystem for the enterprising initiatives in emerging markets is playing a significant role in the rise of the O2O industry over the past two decades. A Boston Consulting Group (2017) study shows the growing popularity of O2O in India where 5% of the purchases made in retail, accounting for 16% of value of purchases, is a result of an O2O experience.

Despite the widespread popularity of the O2O business model in emerging nations such as China and India, there have been notable failures and closures of O2O businesses by the early innovators and adopters. The O2O operations of a few big retailers in China have been successful but have failed for 300 domestic O2O companies across 16 sectors including home furnishings and retail (Hongyu, 2015). The O2O travel company in India, Yatra.com, reported break-even in 2019 and shut down a few physical stores along with some loss-making corporate customers (Jalan, 2019). A fashion e-commerce brand, Myntra, closed its private label "Roadster" store and a franchise store with Mango in India (Soni, 2019). The stated reasons behind such failures included unpredictable changes in the business environment, customer shopping patterns, company's resource integration requirements, operational control capabilities, lack of capital funds, and proper evaluation before diversifying into O2O commerce. The liquidation and failure of several new O2O companies in the wake of this new business model has pushed O2O to be perceived as "Zero-to-Zero" (Ren, 2016). Several e-commerce brands in emerging markets have started chasing the O2O trend and the capital boom, instead of addressing the need gap of their customers.

There is insufficient knowledge and research on the defining aspects of O2O commerce success in emerging markets (Ram, Manoharan, & Sun, 2019). The literature on O2O commerce and platforms has been developed in the recent past (since 2011) with a universal approach assumed to fit both the developed and emerging markets. There is a lack of consideration for different customer behaviors within the markets. The factors for adoption and success of O2O commerce in the emerging market context are also currently underexplored. There is a need identify factors that determine the success and failures of the O2O companies in emerging markets.

This study aims to understand various interpretations of O2O commerce by practitioners, academicians, and businesses. A review of the literature and marketplace evidence is conducted in this study to develop a more comprehensive understanding of O2O commerce. The authors draw insights from the marketplace evidence of O2O businesses in emerging markets and design a dimensions matrix to understand the internal and external success factors for O2O commerce using a newly-developed TOPICS (Technology, Organization, Product, Industry, Customer, and Store) framework.

Online-to-Offline (O2O) commerce

With the advent of the dot-com revolution that enabled both richness and reach (e.g., Evans & Wurster 2000), traditional bricks-and-mortar companies that had relied on physical stores found ways to develop online stores and compete as clicks-and-mortar companies, which can be viewed as the hybrid model. They are digitizing to provide the multi-nodal channels to reach out to the customers through omni channel commerce. Over time, the dot-com or online companies also tried to mimic traditional companies by setting up physical stores, thus moving to a hybrid model. The move from physical to hybrid models is recognized as omnichannel commerce whereas the move from online to hybrid models is viewed as online-to-offline (O2O) commerce.

The concept of O2O commerce has evolved over time. O2O has been portrayed as a "combination of payment model and foot traffic generator for merchants that creates offline purchases" (Rampell, 2010) and as "offline shopping propelled by the web" (Fitzgerald, 2012; He, Cheng, Dong, & Wang, 2016; Phang, Tan, Sutanto, Magagna, & Lu, 2014; Xiao, Mi, Zhang, & Ma, 2017). O2O makes use of internet technology and is recognized as an e-commerce "business model that matches offline vendors to customers through an Internet-based platform or smartphone application" (Hwang & Kim, 2018). It provides a "seamless shopping experience between online commerce and offline bricks-and-mortar, using a connected device or digital technology" (Tse-Ming, Wen-Nan, Yu-Tin, & Seng-Cho, 2015). It uses digital technologies and processes to enable a "two-way flow of information, interactions and transactions, from the online to the physical world" (Latini, 2019).

Perspectives of O2O have expanded to include the omnichannel retailing that integrates the traditional offline bricks-and-mortar stores with the newly digitized platforms. O2O is also defined as a "business strategy that maximizes the potential of all channels, maintains a consistent brand image across channels, promotes cross-sell across channels, and enables the retailer to have one aggregated view of the customer" (Lavin, 2016). O2O has been expanded to include services, i.e., commercial activities to encourage purchase of service online that is later enjoyed in a physical establishment (Hsu & Lin, 2019). Yang, Gong, Land, and Chesney (2020) argues that O2O transaction

channel provides "the benefits of rich online information, convenient online payment manner, lower online price, offline physical experience, and offline customer services." O2O is understood as a new generation of e-commerce that "combines searching and booking products or services online, and consumption in brick-and-mortar stores" (Wan & Chen, 2017; Xiao & Dong, 2015). It is used "to send offline news to internet users through discount promotions, information, services" and enables customers to "subscribe to the products or services online and pay online, and then pick up or enjoy services at offline stores" (Tang & Zhu, 2019). Xu and Zhang (2015) classified O2O in different operation modes like online to offline, offline to online, online to offline to offline, and offline to online to offline. In such scenarios, information flow and cash flow takes place through online implementation, while commercial and service flows are realized in the offline mode. O2O stores set up in emerging markets show that it is not necessary for the customers to make purchases and payments on the online platform only; customers can also place an order while visiting the offline store and complete the payment process at the store itself. Modern retailers provide the option of offline buying at the store to appeal to customers who are still uncomfortable with online payments or feel insecure about product quality on delivery.

In this study, O2O commerce in emerging markets is defined as "*a business strategy or model for the online retailers to integrate their e-commerce platforms with an offline presence, to offer their products with unique in-store experience and personalized services to the customers.*"

The TOPICS framework

Factors affecting the business strategies and outcomes can be evaluated under different frameworks like PESTEL analysis, SWOT analysis, BCG Matrix, Scenario Planning, and Porter's Five Forces Model. While such frameworks offer useful insights, they may not be completely applicable in the context of O2O commerce since various aspects related to O2O commerce may not be fully incorporated. We hereby propose the TOPICS (i.e., Technology, Organization, Product, Industry, Customer and Store-related forces) framework which considers various internal and external factors that impact O2O commerce. These multidimensional factors drive the success of O2O commerce in the emerging markets are described in the next section.

Success factors for O2O commerce in emerging markets

Marketplace evidence has been used to evaluate the success factors that play a role in the success of the companies competing in the market (Gupta, Pansari, & Kumar, 2018). In this research, companies are selected on the following criteria: a) purely online companies setting up an offline store; b)

O2O strategy implemented in emerging market(s); and c) company deals with retail and product-based offerings, but not service-based offerings. The evidence of O2O commerce in emerging markets was assessed by gathering data secondary sources such as company reports, articles, blogs, editorials, opinion articles, and news items. The **Appendix** details the O2O companies in emerging markets. Qualitative data on the O2O companies are analyzed using the factors in the TOPICS framework to critically evaluate the product, customer, store, technology, company, and industry related factors that favor the O2O market. Table 1 shows the mapping of the various factors in the TOPICS framework to the operations of the O2O companies including in the analysis.

Technology-related factors

Digital payment security

The O2O retailers need to adopt secured payment mechanisms such as QR code authentication (Bharat QR in India), Citizen Cards (Brazil), Contactless Mobility Cards (China), and Merchant Payments (South Africa) adopted in emerging markets (PriceWaterhouseCoopers, 2016). The forecasts for growth in digital payment mechanisms in India and China signal the growing shift to O2O commerce with the adoption of mobile technology (iResearch, 2017) and e-payment solutions. For instance, the cashierless store of Bliblimart, an Indonesian online grocery brand, allows visitors to scan product codes and securely pay with GoPay app.

Information accuracy

It is important for the newly penetrating O2O channels to base decisions on data and information with accuracy. From the customer's perspective, the offline stores in emerging markets cannot merely be sources of basic necessities or aspirations but must serve as centers of knowledge and learning (D'Andrea, Marcotte, & Morrison, 2010). Case in point, Naver, Korea's largest online retailer, launched an "online showroom" to attract customers with product explanation and accurate information through customized services.

M-commerce development

In emerging markets, the mobile-first characteristics are a large driver for the O2O trend (Clement, 2019) as customers gradually shift from online purchases to mobile transactions or "mobile-to-offline" (M2O) commerce (Li et al. 2018). O2O retailers should leverage the mobile-enabled services and features to expand their business and market share. For example, Bellabenka leverages the increases in mobile phone adoption and social media usage in Indonesia to expand its O2O strategy.

Table 1. O2O Marketplace mapped to TOPICS Factors

TOPICS →				Technology					Organization						Product				Industry			Customer					Store					
Company	**Industry**	**Emerging Market**	**Description of evidence**	Digital payment security	Information accuracy	M-Commerce development	Phygital infrastructure	Technological investment	Brand awareness	Financial soundness	Marketing strategies	Online brand image	Online vs. offline performance	Supply chain management	Assortment mix	Product price vs. quality	Physical product touch	Product suitability	Dynamic environment	Industry regulation	Market competition	Cultural fit	Customer motivation	Customer readiness	Customer segment	Price expectations	Channel shift	In-store experience	Personalized services	Purchase channel-end	Store format	Store location and size
Yatra.com	Travel	India	Opened its offline stores for customers who may lack access to broadband or credit cards. The sales had doubled y-o-y in 2011.		■	■			■	■		■							■		■	■			■				■			■
FirstCry	Baby Products	India	Followed its online portal with its first offline store in 2011. Stores act as experience centers to provide touch-and-feel of the product.		■						■			■			■				■				■		■	■	■			
Caratlane	Jewelry	India	Opened 'Solitaire Experience Lounge' in Delhi in 2012. The lounge has jewelry experts and touch screens to show the store's collection to customers uncomfortable with e-shopping high-value items.	■			■	■				■				■		■				■	■	■		■			■	■		■	
Pepperfry	Furniture	India	Opened Studio Pepperfry, an offline store in Mumbai in 2014. These studios act as experiential centers, staffed by interior designers for customers.		■			■	■		■		■	■	■	■	■		■		■			■	■	■	■	■	■		■	■
Lenskart	Eyewear	India	Opened its first franchised store in Delhi in 2014. It is a shop-in-shop concept of displaying products with virtual machines for a 3D experience.	■		■	■	■	■		■		■	■	■		■				■		■					■	■		■	■
Naver	e-Commerce	Korea	Started "Shop Window," a new shopping O2O space, in 2014. It is an 'online showroom' for product explanation and favored services.		■							■											■	■		■		■	■				
Line	Mobile messaging	China, Korea,	Opened its 'Line Friends' store for consumer items based on its popular emoticons & characters in South Asia (2015).						■	■	■	■	■		■			■	■	■	■	■	■	■	■	■	■				■		
Yepme	Fashion	India	Marked its physical presence in 2016 for a better customer interaction and experience. It serves as a shopping zone and warehouse for customers.		■								■	■		■		■					■				■	■	■			■
Berrybenka	Fashion	Indonesia	Experimented with a series of pop-up store events throughout 2016 and established a retail store (2017). It launched an Islamic fashion-focussed O2O platform, Hijabenka (2016).						■				■								■							■	■				

(*Continued*)

Table 1. (Continued).

Berrybenka	Fashion	Indonesia	Experimented with a series of pop-up store events throughout 2016 and established a retail store (2017). It launched an Islamic fashion-focussed O2O platform, Hijabenka (2016).						■				■									■						■	■				
Urban Ladder	Furniture	India	Started experimenting with the offline retail store in Bangalore in 2017 to establish a deeper customer connection.		■				■			■	■				■								■		■		■	■				
Myntra	Fashion	India	Opened its first brick and mortar store in partnership with the Spanish Fashion brand, Mango. Stores improve their customers' shopping experience with Endless Aisle browsing feature on tablet and Assisted Checkout.	■	■	■	■	■			■		■	■									■				■			■		
Jumia	e-Commerce	South Africa	Launched 'Jumia Experiential Zones' in Nairobi and Mombasa for customers to walk in, feel the product while making the purchase order and payment via their online platform.	■	■		■	■										■	■				■	■		■		■				
Tencent	Internet	China	Opened its first cashier-less pop up store for lifestyle products – We Life – in Shanghai in 2018. It uses WeChat pay to buy the RFID-equipped products, which reduces the long billing queues and saves efforts of staff.	■			■	■						■					■				■	■		■	■	■	■				
Netmeds	e-Pharmacy	India	Opened its first pharmacy store in 2018. The franchise model ensures availability of medicine and employment for local communities.									■	■	■				■	■	■		■									■	■
JD.com	e-Commerce	China Indonesia	Opened its AI-powered unmanned store in China in 2017 and Indonesia in 2018. The store is equipped with RFID and facial recognition technology to monitor traffic flow and customer preferences.	■			■	■						■					■		■				■			■					
Replay	Fashion	India	Emerged in the Indian market with its retail store plan in Delhi and Mumbai partnered by Reliance for the urban customers.						■							■		■				■	■	■		■						■
Social Bella	Beauty	Indonesia	Launched its offline stores to provide the customers with an improved shopping experience and physical touch.							■	■						■										■	■	■			
Amazon	e-Commerce	India	Plans to cross-sell its private label brand – AmazonBasics – through the offline stores of Future Group, More and Shoppers Stop in India with a similar pricing strategy.											■		■						■			■	■					■	
BlibliMart	Grocery	Indonesia	Established a cashier-less store in 2020. Customers can check in with smartphones, scan product codes and pay with GoPay app.	■										■	■			■							■							

Phygital infrastructure

The interaction and convergence of physical space with digital technologies provide a phygital experience to those customers visiting the stores. O2O retailers need to invest in the phygital infrastructure to leverage the opportunities in the emerging markets. Bliblimart, an Indonesian online grocery brand, provides free wifi to its customers due to internet connectivity issues and depends on the shopkeeper to check the purchases after payments are completed due to lack of technology solutions for theft-deterrence in Indonesia.

Technological investment

O2O stores specifically focus on optimizing the in-store experiences with essential technologies and smart devices rather than the marketing and investment efforts across all digital media platforms. O2O retailers should aim at equipping stores with connecting equipment and technologies that bridge the online and offline channels. For instance, Flipkart stores enhance customer experience using GoogleLens and smartphones to scan the furniture icon from online catalogs at their FurniSure Experience Zones in India.

Organization-related factors

Brand awareness

Online retailers are able to develop expansion plans for offline presence once their brands gain popularity and awareness among the target audience influencing the brand choice (Macdonald & Sharp, 2000). For instance, Line, a Japan-based mobile messaging app, eventually launched its offline store called "Line Friends" to sell consumer items based on the brand's popular emoticons & characters. It becomes difficult for the O2O companies to rely just on walk-in customers, season sales, or one-time purchasers, due to which investments in innovation, technology, and customers (Rajagopal 2019) are crucial for the brand awareness.

Financial soundness

The adoption and success of the O2O channel requires retailers to stretch their economic resources for continuity of revenue streams from sales and persistent cost optimization to ensure financial soundness and return on investments. Case in point, Yatra.com had closed a few stores due to lower revenue due to decreased sales of their holiday packages (Jalan, 2019). On the other hand, China-based internet companies such as Tencent, Baidu, and Alibaba are heavily investing in India-based technology startups and e-commerce platforms diversifying into O2O commerce (Fung Business Intelligence 2016).

Marketing strategies

The perceived barriers by the customers regarding different shopping channels are obsolete now in emerging markets, with the outreach through pamphlets, billboards, television advertisements, in-store attractions, and social media marketing. For instance, Berrybenka, an Indonesian fashion e-commerce retailer, launched a series of pop-up store events focused on Islamic fashion throughout 2016 before establishing its own brick-and-mortar store in 2017. Additionally, customers in emerging markets are highly influenced by word-of-mouth (Atsmon, Kuentz, & Seong, 2012) and referrals because of close proximity of families and a culture of societal validation, which can be leveraged to reinforce the expansion of O2O business (Li et al. 2018).

Online brand image

The O2O storefronts reflect the online brand image and personality (Valette-Florence, Guizani, & Merunka, 2011) of the company to establish a successful offline presence. For example, the convenient mobile messenger app of LINE maintained its reputed brand image online thus complementing their retail store business. The webpage design and logistics largely impact the satisfaction of online customers with the O2O brand (Pei, Xue, Yang, Li, & Li, 2019). The opening of an offline store is often associated with an increase in online sales and search, in case the retailer might not have a strong presence in the market yet (Wang & Goldfarb, 2017).

Online vs. offline performance

Successful O2O companies should regularly keep a check on the performance of each store location along with their online business. Myntra closed two of its loss-making offline stores in India due to property compliance issues and relocation challenges (Soni, 2019). Such performance evaluation not only includes financial results but also the social impact on customer relationship management and the company's brand image. A comparative analysis to measure the overall gains, from each aspect of the product journey through both channels, provides a bird's eye view on the business returns.

Supply chain management

O2O companies have to integrate the additional involvement of intermediaries and multi-faceted distribution channels in the supply chain and ensure consistency through stakeholder management and supply chain management. China's leading search engine company, Baidu, has established the first Brazilian Association to represent the O2O market in Latin America (Ecommerce Foundation, 2018; Kim-Krause, 2015) to encourage the growth of O2O businesses through a better customer experience with more intelligent

and practical services. O2O stores need to ensure higher levels of in-store help, easy product returns, and information on delivery status to maintain a smooth supply chain and cross-channel integration.

Product-related factors

Assortment mix

The specialty of an offline store depends on the width and depth of the product assorted for display and purchase. O2O retailers are able to showcase selected broad categories without much depth in any one category (Grewal et al., 2010) due to the limitations in physical space at the stores. Shopclues, an Indian e-commerce platform, opened its stores in 2018 in tier- II and tier-III locations with the expectations of holding 1,000 to 1,500 top-selling items depending on the size of the store (Ghosh, 2019). NetMeds emphasizes on inventory management, keeping 50,000 items at their O2O pharmacy stores.

Product price vs. quality

Customers in emerging markets are sensible shoppers who take into account all the cost components to compare the quality of product. Alternatively, customer satisfaction is revealed to positively impact the sales price and profits for the offline retail channels under the O2O strategy (Cao, So, & Yin, 2016; Liu, Ren, Yang, & Feng, 2020). For example, Yepme's offline stores serve as a shopping zone and warehouse for the customers to buy quality products at the store or online at a reasonable price. Thus, the customer should be able to perceive the value and usefulness of the product with the right combination of the product price, quality and experience.

Physical product touch

Customers in emerging markets prefer to visit the offline stores, check the product physically, and then make the purchase decision as it seems less risky with the face- to-face transactions (Grewal et al., 2010). Moreover, the hedonic benefits of immediacy, accessibility, and accuracy gained from the trial and testing of preferred product categories cannot be replicated by other channels. Tencent's WeLife in China, Social Bella in Indonesia, and Caratlane in India identified the customer preferences for physical product touch at the store in their particular product segments, and made the first move with their O2O strategies.

Product suitability

O2O retailers need to consistently evaluate the suitability of their product categories while entering the offline stores. Customers in emerging markets prefer a visual-and- touch feel for fresh foods, and even the standardized categories, including electronic gadgets and furniture (Singhi & Sanghi, 2017). However, the search-based goods such as recreational equipment and travel

packages are largely purchased online and might not benefit from the O2O model (Bhatnagar & Ghose, 2004). The private label brands in lifestyle are also being pushed through the O2O channels, such as Berrybenka, Indonesia and AmazonBasics, India.

Industry-related factors

Dynamic environment

The changes in trends, customer behaviors, leapfrogging patterns, and cultural factors of emerging markets are crucial characteristics of the dynamic environment for O2O retailers. For instance, the traveling package companies in India including MakeMyTrip, Yatra.com, and Expedia started setting up offline stores in the early 2000s to target customers who did not believe in the do-it-yourself culture and lacked access to broadband and credit cards (Chitravanshi, 2013). Eventually, the holiday and travel customer segment started using online platforms with the advent of smartphone technologies and internet access. Yatra.com reevaluated its physical performance and closed a few of its physical stores in India due to increased service costs and decreased sales of holiday packages (Jalan, 2019).

Industry regulations

The functioning of specialized intermediaries, regulatory systems, and contract-enforcing mechanisms in emerging markets (Khanna, Palepu, & Sinha, 2005) affect the implementation of global strategies. Netmeds, an e-pharmacy company, started its new offline chemist business in the absence of provisions for licenses for online pharmacies in India (Thacker 2019). Institutional voids within the emerging markets should be considered by O2O retailers due to differences in the intensity of mutual dependence, political affiliations, and vested interests.

Market competition

The competition between different online platforms is likely to become more important as the industry evolves (Li et al. 2018). FirstCry had an offline presence in India along with its online portal since 2011 and has been getting business due to lack of competition in the baby products market. Urbanladder saw the potential of entering the offline furniture market in India, with increased O2O adoption by competitors like Pepperfry and Flipkart.

Customer-related factors

Cultural fit

The concepts of gender roles, religious beliefs, societal norms, and linguistic practices should be considered while taking the business decisions, ensuring that the O2O retailer's business is a cultural fit in the emerging market. For

instance, Caratlane opened its Solitaire Experience Lounge for showcasing light-weight jewelry, aimed at the young, successful, and financially independent women who are trying to break through stereotypes to forge new identities.

Customer motivation

Customers visit an O2O store with different situational, occasional, or specific purposes and motivations. Offline store visits are seen as "occasion trips" for window shopping, deal hunting, or making impulse purchases (Aragoncillo & Orus, 2018; Kearney, 2013). For example, Naver opened its O2O store "Show Window" in Korea to attract customers who prefer window shopping. In contrast, online shopping appears to be a "mission trip" for those customers who browse multiple online channels to find specific products or services at the lowest possible price. Therefore, customer motivations affect the success of O2O retail formats due to the operational costs, time, and effort invested on customers visiting the store.

Customer readiness

The emerging markets are increasingly witnessing the rise in millennial customers (Mckinsey, 2013), thus creating a huge potential for the success of O2O commerce. The education, consumption propensity, familiarity with technology, and the perceptions of customers in emerging markets play a vital role in evaluating the readiness of the customers. Jumia, a Nigeria-based O2O commerce company, has leveraged the adoption of smartphones by the customers in Kenya to launch its "Jumia Experience Stores." The offline presence of a retailer should address the apprehension among traditional customers for using the digital payment mechanisms and high-tech equipments in the stores for a better purchasing experience.

Customer segment

Customers in emerging markets comprise a relatively higher mix of first-time buyers with a shorter history of familiarity with the brands (Atsmon et al., 2012). O2O brands are gradually focusing on capturing a larger potential market in Tier-2, 3, and 4 cities as the market is more about variety and availability of products than just lower prices. For instance, Yepme and Replay stores opening in rural India as the demand for lifestyle products, being considered a necessity and also affordable, is mainly fueled by the households in emerging markets with middle class aspirations (Lindgardt, Nettesheim, & Chan, 2013) despite lower incomes. It is necessary for O2O retailers to understand the distinction between low-income customers and the middle-income customers regarding their values and expectations (Darley & Johnson, 1985).

Price expectations

Customers in emerging markets predominantly belong to multiple switcher segments, i.e., customers who compare prices at different retailers (Mathur & Sinitsyn, 2013). The price consciousness is stronger online (Scarpi, Pizzi, & Visentin, 2014) and a majority of customers expect the same pricing and promotions in traditional stores as found in online stores (Accenture, 2013). Successful O2O retailers ensure that they maintain a planned pricing strategy (Grewal et al., 2010; He et al., 2016) in both their online and offline stores to benefit the overall business. Yepme and AmazonBasics India recognize the importance of price similarity to ensure that there is no price difference for products between their offline and online stores. Firstcry also uses a pricing software and kiosk display to ensure similarly aligned prices across their channels.

Store-related factors

Channel shift

The conversion of non-customers to in-store customers due to channel shift is the ultimate goal of O2O commerce companies (Gallino & Moreno, 2014). While traditional retailers refuse to accept in-store returns for items purchased from online platforms, O2O players exploit this additional service of product returns at the stores. For instance, Jumia, a Nigeria- based e-commerce platform, allows the customers to feel the product while making the purchase order and payment via their online platform. These value propositions by O2O retailers, which were primarily designed to remove online shopping barriers, have started to create barriers for traditional offline retailers. Resource allocation decisions across channels are important to ensure that the physical stores create true value for retailers (Kearney, 2014).

In-store experience

The personal interaction, customer engaging activities, technology support, and perceived O2O platform usefulness (Pei et al., 2019) account for a large portion of the customer's in-store experience. The use of advanced technology in the stores for customer's convenience, better recommendations, and experiences ensure higher rates of walk-ins, repeated purchases, and regular customer visits. Vajor, an India-based online lifestyle shopping platform, launched its physical stores equipped with touch-screens for a virtual tour of the brand and complete payment transactions (Martins, 2018).

Personalized services

The range of services on online platforms is generally much larger than the services a user can actually use (Pan et al. 2019). Personalization of information and services by O2O stores can be done using data on customer behavior

patterns or by incorporating feedback received from customers (Moon & Armstrong, 2019). Direct interactions and customer feedback have helped Caratlane to launch "Shaya," a silver jewelry brand, to serve the large potential market in India. Urbanladder believes that instant feedback from customers drives the success for its offline stores as it allows quick changes for at-the-moment personalized services. O2O retailers should increase the range of customer-brand interactions through product recommendations at each point of communication, i.e., in-store and online platforms.

Purchase channel-end

O2O companies segregate roles for the online and offline channels based on product types, costs, inventory management, product availability, and transportation. A few O2O retailers act as the channel-end allocated for purchases and provide the facility of product selection, order booking/purchases, instant delivery, and payment at the offline store itself. JD.com's unmanned stores in China are equipped with RFID and facial recognition technology for immediate product scanning during check-out and automated payment methods. Contrastingly, Pepperfry India does not let the customers purchase furniture through their offline studios since it limits the inventory stock and transportation costs for the products kept in store. Channel consistency across all stores enables the O2O retailer to know the motivating sources for customers' in-store visits or the preferred channels for the final purchases.

Store format

The O2O store's design and format are focused on the experience and emotions of the customer rather than on the sales drive. The store format for the O2O retail fronts need to be exclusive and futuristic to serve the marketing and branding strategy (Rajagopal 2019). China- based smartphone companies like OnePlus and Xiaomi, previously available online via an invite- only basis, have opened large flagship stores in the prime locations of China and India (Ranipeta, 2018; Saha, 2017). The flexible retail format of pop-up store is famous in China, where O2O retailers like Tencent opened its first cashierless pop-up lifestyle store "We Life" to create buzz among the tech-savvy customers and trigger impulse buying. Often, a combination of store formats is also chosen by O2O brands. Nykaa.com, an India-based beauty products e-commerce retailer, marked its offline presence in two store formats: "Nykaa Luxe" with all the luxury brands and "Nykaa On Trend" featuring the bestselling branded products.

Store location and size

The proximity of stores to customer residences and the strategic location of the store drive traffic flow and frequency of customer walk-ins. O2O retailers should use technology and customer data to identify the geographic locations

suitable for setting up stores. For instance, Tmall uses the big data on its apparel sales online to assist the fast-fashion brands on its platform in planning locations for their offline stores (Bain, 2015). Lenskart uses data from its mobile application to identify catchments and small regions within a district, where people are using its app, to identify possible areas for new stores. The size of the store depends on the industry type, store location, store format, inventory supply, and purchase channel-end. The average size of Pepperfry Studios (Lamba, 2018) ranges from 2,500 to 3,000 square feet, which is typically 1/10th the size of a regular offline furniture store.

Conclusion

The study focuses on the e-commerce retailers that have vertically integrated their operations through an offline presence in the emerging markets. Marketplace evidence is used to identify the demonstrated practices and successful strategies implemented by the established O2O retailers in emerging markets (Khanna & Palepu, 2013). The factors are integrated into a newly proposed TOPICS Framework, which can be used by the retailers to implement a successful business model. Practitioners may consider the factors related to various aspects of O2O business including technology, organization, product, industry, customer, and store.

The customer behaviors and purchase intentions have been previously considered in the O2O context (Tang & Zhu, 2019; Xiao, Guo, & D'Ambra, 2019; Xiao et al., 2017) but O2O customers' motivations have changed over time across with the development of online commerce. This change can occur between different phases of the customer purchase journey, i.e., pre-purchases, during purchases, and post-purchases. Factors such as channel shift, price expectations, and customer motivation may enable the sustenance for O2O business. This study emphasizes on the importance of channel integration for a distinctive purchase channel end for the success of O2O commerce.

The impact of O2O factors and perceived risk on customers' purchase intentions indicates that the O2O conversion motivation for word-of-mouth is significantly higher than the O2O conversion motivation for discount promotion (Tang & Zhu, 2019). It reveals that information dissemination, awareness, and marketing of products or services among customers in the emerging market can take place in a combination of offline and online formats. Therefore, factors that influence information accuracy and brand awareness are paramount in the growth and development of a sustainable business. This study offers insights into the success factors of O2O commerce based on a review of several O2O companies in emerging markets, which can spur the generation of new knowledge regarding O2O commerce in emerging markets.

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